

LightWay Christian Resources - Financial Summary (FY 2022-2025)

All figures in US Dollars (USD). LightWay operates in the United States.

Metric	FY 2022	FY 2023	FY 2024
Publishing Revenue (\$M)	\$216	\$198	\$174
Retail Revenue (\$M)	\$168	\$42	\$0
Digital Revenue (\$M)	\$48	\$87	\$93
Events Revenue (\$M)	\$48	\$53	\$43
Total Revenue (\$M)	\$480	\$380	\$310
COGS (\$M)	\$201	\$172	\$148
Gross Profit (\$M)	\$279	\$208	\$162
Gross Margin	58.1%	54.7%	52.3%
Staff Costs (\$M)	\$135	\$100	\$68
Technology & Platform (\$M)	\$8	\$14	\$12
Marketing & Promotion (\$M)	\$19	\$12	\$9
Fulfilment & Logistics (\$M)	\$22	\$18	\$15
Facilities & Admin (\$M)	\$28	\$18	\$11
Other Operating (\$M)	\$20	\$16	\$15
Total Operating Costs (\$M)	\$232	\$178	\$130
EBITDA (\$M)	\$47	\$30	\$32
EBITDA Margin	9.8%	7.9%	10.3%
Employees	4,500	2,800	1,350
Physical Stores	170	85	0
Digital Subscribers (Church Accts)	0	18,000	35,000

FY 2025	YoY (24-25)	CAGR (22-25)
\$160	-8.0%	-9.5%
\$0	0.0%	-100.0%
\$85	-8.6%	21.0%
\$40	-7.0%	-5.9%
\$285	-8.1%	-16.0%
\$137	-7.4%	-12.0%
\$148	-8.6%	-19.0%
51.9%	0.0 pp	
\$72	5.9%	-18.9%
\$11	-5.0%	12.5%
\$9	-4.4%	-23.2%
\$14	-4.7%	-13.4%
\$10	-9.1%	-29.1%
\$15	-1.3%	-9.5%
\$131	0.8%	-17.3%
\$17	-47.2%	-28.9%
5.9%	0.0 pp	
1,200	-11.1%	
0	0	
45,000	28.6%	

Revenue Segment Analysis

Segment	FY 2022 (\$M)	FY 2022 Mix	FY 2025 (\$M)
Publishing	\$216	45.0%	\$160
Retail	\$168	35.0%	\$0
Digital	\$48	10.0%	\$85
Events	\$48	10.0%	\$40
Total	\$480	100.0%	\$285

Digital Subscriber Economics

Metric	Basic Tier	Premium Tier	Enterprise Tier
Monthly Price	\$49	\$99	\$249
Est. Subscribers (FY25)	28,000	14,000	3,000
Monthly Churn Rate	2.5%	1.8%	1.2%
Annual Revenue (\$M)	\$16.5	\$16.6	\$9.0
LTV (per subscriber)	\$1,960	\$5,500	\$20,750

FY 2025 Mix	Change (\$M)	Change (%)	Status
56.1%	-\$56	-25.9%	Declining
0.0%	-\$168	-100.0%	Declining
29.8%	\$37	77.1%	Growing
14.0%	-\$8	-16.7%	Declining
100.0%	-\$195	-40.6%	

Blended
\$78
397
2.2%
\$42.1
\$3,548

Competitive Landscape

Competitor	Category	Est. Revenue (\$M)	Pricing Model
LightWay (Current)	Publishing/Resources	\$285	Transactional + Sub
Amazon (Christian Books)	E-commerce	Est. 800+	30-40% Discount
RightNow Media	Video Streaming	Est. 80-100	Church Subscription
Faithlife/Logos	Software/Resources	Est. 60-80	SaaS + Marketplace
YouVersion	Bible App (Free)	Non-profit	Free (Donations)
Group Publishing	Curriculum	Est. 40-60	Transactional
David C Cook	Publishing	Est. 30-50	Transactional

Competitive Advantage Assessment

Dimension	LightWay	Amazon	RightNow Media
Price Competitiveness	3	10	6
Content Depth	9	5	7
Theological Vetting	10	1	7
Church Relationship	6	1	8
Digital Experience	4	9	8
Brand Trust (Legacy)	8	3	7
Brand Awareness (<35)	3	9	6
Curriculum Range	9	4	5
Average Score	6.5	5.3	6.8

Church Focus	Digital Maturity	Threat Level
High	Medium	Self
None	Very High	Critical
Very High	High	High
High	Very High	High
Medium	Very High	Medium
High	Medium	Medium
High	Low-Med	Low

Faithlife	YouVersion
7	10
8	4
6	5
5	3
9	9
7	8
5	10
3	2
6.3	6.4

Scenario Modelling - Strategic Recommendations

All figures in USD. Conservative base cases throughout.

Initiative 1: Church Resource Platform (Subscription)

Metric	Pessimistic	Base Case	Optimistic
Year 1 Subscribers	12,000	22,000	35,000
Year 3 Subscribers	35,000	80,000	120,000
Avg Monthly Price (\$)	\$55	\$65	\$72
Monthly Churn	3.5%	2.5%	1.8%
Platform Investment (\$M)	\$4.0	\$6.0	\$8.0
Church Acquisition Cost (\$)	\$280	\$220	\$180
Year 1 Revenue (\$M)	\$7.9	\$17.2	\$30.2
Year 3 Revenue (\$M)	\$23.1	\$62.4	\$103.7
Year 1 Acquisition Cost (\$M)	\$3.4	\$4.8	\$6.3
Year 1 Net Impact (\$M)	\$0.6	\$6.3	\$15.9
LTV per Subscriber	\$1,571	\$2,600	\$4,000
LTV/CAC Ratio	5.6x	11.8x	22.2x

Initiative 2: Content Creator Partnerships

Metric	Pessimistic	Base Case	Optimistic
Year 1 Partnerships	5	12	20
Year 3 Partnerships	10	20	35
Avg Revenue per Partner (\$M)	\$0.2	\$0.3	\$0.3
Revenue Share to Creators	40.0%	35.0%	30.0%
Year 1 Investment (\$M)	\$1.5	\$2.5	\$4.0
Year 1 Gross Revenue (\$M)	\$1.2	\$3.5	\$6.0
Year 3 Gross Revenue (\$M)	\$2.4	\$5.8	\$10.5
Year 1 Net Revenue (\$M)	-\$0.8	-\$0.2	\$0.2

Initiative 3: Church Partnership Programme

Metric	Pessimistic	Base Case	Optimistic
Year 1 Partnerships	200	600	1,000
Year 3 Partnerships	600	2,000	3,500
Revenue per Partnership (\$/yr)	\$9,000	\$9,000	\$9,000
Advisory Team Size	10	30	50
Annual Team Cost (\$M)	\$0.8	\$2.4	\$4.0
Churn Reduction vs No-Advisor	15.0%	35.0%	50.0%
Year 1 Revenue Impact (\$M)	\$1.8	\$5.4	\$9.0
Year 3 Revenue Impact (\$M)	\$5.4	\$18.0	\$31.5
Year 1 Net Impact (\$M)	\$1.0	\$3.0	\$5.0

Initiative 4: Digital Discipleship Content (Freemium)

Metric	Pessimistic	Base Case	Optimistic
Year 1 Free Users/Month	50,000	150,000	300,000

Year 3 Free Users/Month	150,000	500,000	1,000,000
Free-to-Paid Conversion	2.0%	5.0%	8.0%
Avg Sub Revenue (\$/yr)	\$780	\$780	\$780
Annual Content Cost (\$M)	\$1.0	\$2.0	\$3.0
Year 3 Converted Subscribers	3,000	25,000	80,000
Year 3 Conversion Revenue (\$M)	\$2.3	\$19.5	\$62.4
Year 3 Net Impact (\$M)	\$1.3	\$17.5	\$59.4

COMBINED IMPACT SUMMARY

Metric	Pessimistic	Base Case	Optimistic
Year 1 Total New Revenue (\$M)	\$10.9	\$26.0	\$45.2
Year 3 Total New Revenue (\$M)	\$33.2	\$105.7	\$208.1
Year 3 Total Revenue (est.)	\$250	\$265	\$265
Year 3 Revenue + Initiatives (\$M)	\$283.2	\$370.7	\$473.1
Total Investment Required (\$M)	\$7.3	\$12.9	\$19.0

Contrarian
8,000
50,000
\$60
2.0%
\$3.0
\$150
\$5.8
\$36.0
\$1.2
\$1.6
\$3,000
20.0x

Contrarian
3
8
\$0.7
45.0%
\$1.0
\$2.0
\$5.4
\$0.1

Contrarian
150
800
\$23,333
8
\$0.6
25.0%
\$3.5
\$18.7
\$2.9

Contrarian
80,000

250,000
3.0%
\$780
\$1.2
7,500
\$5.9
\$4.7

Contrarian
\$11.3
\$65.9
\$260
\$325.9
\$5.8

KPI Dashboard - LightWay Christian Resources

KPI	Current (FY25)	Year 1 Target	Year 3 Target
Total Revenue (\$M)	\$285.0	\$300.0	\$340.0
Subscription Revenue (\$M)	\$0.0	\$14.5	\$52.0
EBITDA (\$M)	\$17.1	\$20.0	\$35.0
EBITDA Margin	6.0%	6.5%	10.0%
Digital Subscribers	45,000	67,000	125,000
Monthly Churn	2.5%	2.5%	2.0%
Church Partnerships	0	600	2,000
Creator Partnerships	0	12	20
Free Content Users/Month	0	150,000	500,000
Free-to-Paid Conversion	0.0%	5.0%	5.0%
Staff Engagement (pts)	45	60	75
Platform NPS	0	45	55
Partnership NPS	0	60	65
Publishing Revenue Share	56.0%	52.0%	47.0%

Redline	Status	RAG
\$260.0	At Risk	AMBER
\$8.0	Behind	RED
\$10.0	At Risk	AMBER
4.0%	At Risk	AMBER
30,000	Building	AMBER
4.0%	On Track	GREEN
100	Building	AMBER
3	Building	AMBER
30,000	Building	AMBER
2.0%	Behind	RED
35	At Risk	AMBER
25	Behind	RED
40	Building	AMBER
60.0%	Monitor	AMBER

Charts Data

Revenue by Segment (\$M)

Year	Publishing	Retail	Digital	Events
FY 2022	\$216	\$168	\$48	\$48
FY 2023	\$198	\$42	\$87	\$53
FY 2024	\$174	\$0	\$93	\$43
FY 2025	\$160	\$0	\$85	\$40
Total	\$748	\$210	\$313	\$184

Margin Trends

Year	Gross Margin	EBITDA Margin
FY 2022	58.2%	12.0%
FY 2023	54.8%	6.0%
FY 2024	52.4%	6.6%
FY 2025	52.0%	6.0%

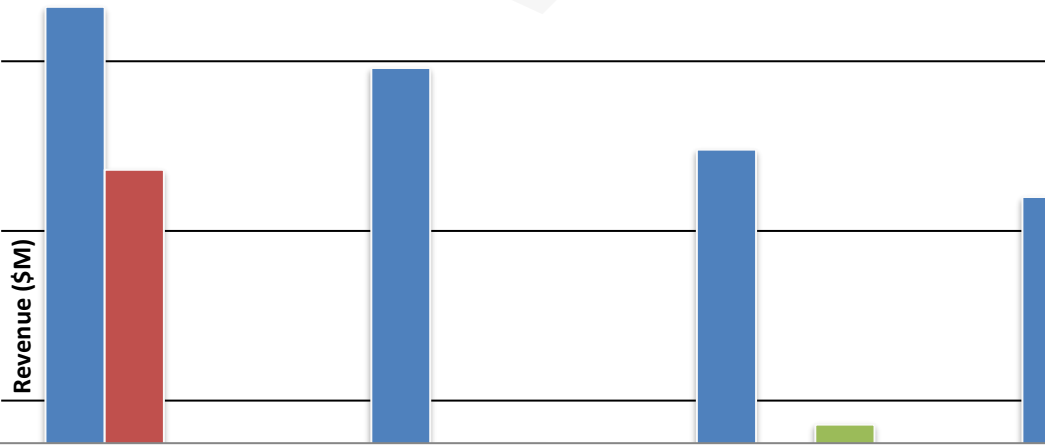
Revenue Mix FY 2025

Segment	Revenue (\$M)
Publishing	\$160
Digital	\$85
Events	\$40

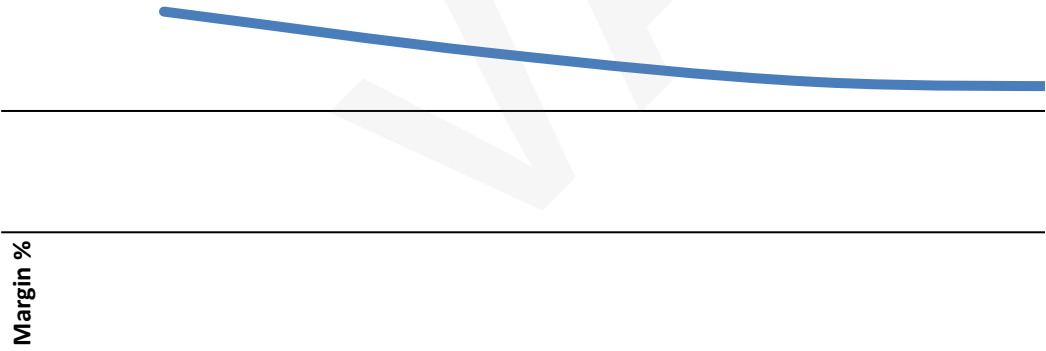
Scenario Comparison - Year 3 New Revenue (\$M)

Initiative	Pessimistic	Base Case	Optimistic
Church Resource Platform	\$22.4	\$52.0	\$78.0
Creator Partnerships	\$4.8	\$12.0	\$22.0
Church Partnership Prog.	\$6.0	\$20.0	\$35.0
Digital Discipleship	\$2.3	\$12.0	\$38.4
Total	\$35.5	\$96.0	\$173.4

Revenue by Segment (FY 2022-2025)



Margin Trends (FY 2022-2025)



Revenue Mix FY 2025

